Al Ahsaa Independent Strategic Water Reservoir (ISWR)

INVESTMENT OPPORTUNITY

WATER

استثمر في السعودية
INVEST SAUDI

High Potential | Moderate Potential | Low Potential

WATER

Al Ahsaa Independent Strategic Water Reservoir (ISWR)

OPPORTUNITY DESCRIPTION: The project consists in the development of strategic potable water reservoirs located in eastern region and SWPC intends to procure AlAhsaa ISWR using a Public-Private Partnership ("PPP") Model

DEMAND

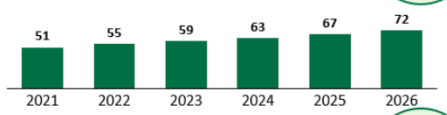
PROJECT OVERVIEW

- The AlAhsaa Independent Strategic Water Reservoirs will be designed, financed, constructed, operated and maintained by a private sector developer/group of developers, which will be selected through a competitive tender run by SWPC
- The strategic storage reservoirs will be transferred to SWPC at the end of the contract term (30 years)
- The project will be the first strategic water reservoir in Saudi Arabia and in the Middle East to be procured on a public–private partnership (PPP) basis
- Water at inlet and outlet is estimated based on the water demand in the areas served by the plant.

Market outlook

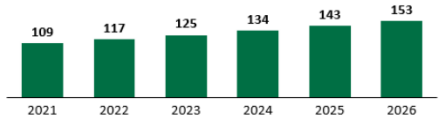
GCC[1)2)] desalination capacity, 2021-2026 [m m^3/ day]

KSA market c.45% of GCC market



Global[1)2)] desalination capacity, 2021-2026 [m m^3/day]

MENA market c.55% of global market



INVESTMENT OVERVIEW

INVESTMENT HIGHLIGHTS

- Expected Investment size: from SAR 0.5 billion to SAR 1 billion
- Strategic water storage capacity: 1,389,000 m3
- Job Creation: up to 250 jobs during the project life
- Location (Region): Eastren Region.
- Target IRR between 5-8% , COD will be 2027.
- SWPC will set out its contractual performance targets and other requirements in the General Technical Specifications.
- Payment mechanism is a standard structure followed in precedent SWPC projects as following components (Capital Cost Recovery Rate, Fixed O&M Recovery Rate, Variable O&M Recovery Rate; and Electricity Charge Rate)

VALUE PROPOSITION

- The project is being procured by SWPC, an entity wholly owned by the Ministry of Finance, with a proven track record in the procurement of water infrastructure on PPP basis. SWPC value proposition includes:
  - Guaranteed purchase of water/water services through off-take agreements
  - Providing a clear set of rights and obligations
  - Logistics and infrastructure support in securing land, electricity, etc.
  - Interconnection and other support infrastructure
  - Ensuring a transparent and competitive bidding process
  - Providing sovereign guarantees through the Ministry of Finance, where appropriate

MARKET OVERVIEW

ENVIRONMENTAL IMPACT

- A detailed environmental impact study will be carried out prior to project execution. Such study will include an assessment of the project's impact on air quality, noise level and soil quality
- Developers are required to comply with the local environmental throughout the project execution
- It is expected that the project will be of interest to international lenders which would call for further compliance with international standards, best practice and strict environmental rules
- Developers are allowed to consider an on-site solar power solution along with the grid connection to optimize the project power consumption, which would lead to the reduction of greenhouse emissions

FINANCING STRUCTURE

- The project will be funded via a mix of equity and debt
- The debt will be based on a limited or non-recourse basis
- Any funding of the project construction costs shall be without recourse to SWPC
- In precedent SWPC projects, local Saudi banks have shown a considerable appetite for financing water projects. It is expected that the trend will continue. However, international commercial banks also remain a significant source of funding for small to medium, sized projects in infrastructure projects located in Saudi Arabia
- No government entity's investment in the project is envisaged to be specified or offered as part of the Request for Proposal (RFP)

WATER

Al Ahsaa Independent Strategic Water Reservoir (ISWR)

Procurement Stage

SUPPLY

SCALABILITY AND LOCALIZATION

Grade: Low | Medium | **High**

- Local Content Target of 40% during the construction period and 50-70% during the operation period
- Employment and Training of Saudi Arabian Nationals

KEY DEMAND DRIVERS

- Al Ahsaa ISWR is a key strategic reservoir that will cater to eastern Region's requirements in terms of water storage capacity.
- Sharqiah strategic reservoir will be used for peak load management of Northwest demand.
- Actual costs will vary according to the market conditions and risk profile adopted. Movement in foreign exchange rates may also have an impact on the cost of the plant.

ENABLING FACTORS

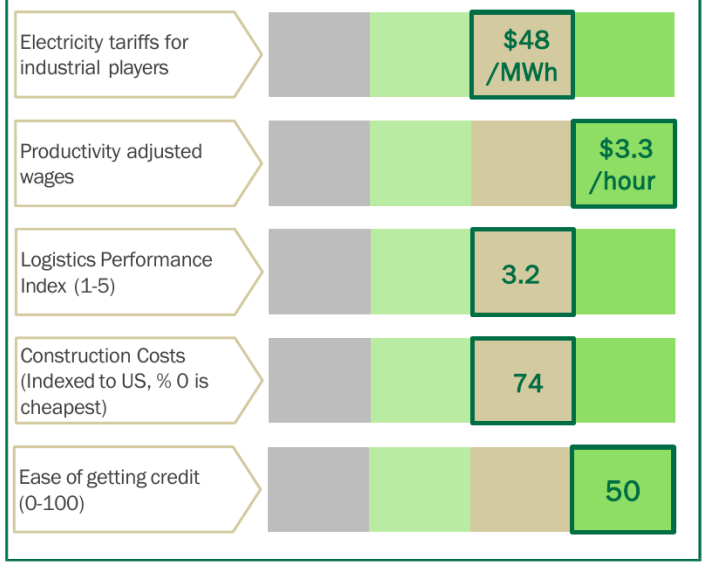
ENABLERS & INCENTIVES

- The company developing the project will be compensated for the making the water storage capacity available to SWPC under a 30-year Water Storage Agreement ("WSA") to be signed by the company and SWPC
- SWPC's obligations under the WSA will be supported by a credit support agreement entered into by the Ministry of Finance on behalf of the Government of KSA

GENERAL WATER VALUE CHAIN

Production → Transmission & storage → Distribution → Wastewater collection → Wastewater treatment → Effluent & sludge re-use

COST OF DOING BUSINESS IN KSA



KEY STAKEHOLDERS

- SWPC is managing the project procurement process in coordination with stakeholders including the Ministry of Environment, Water and Agriculture (MEWA), Ministry of Finance (MoF), National Centre for Privatization (NCP), Supervisory Committee. SWPC is also supported by key water sector stakeholders such as the National Water Company, the Saline Water Conversion Corporation and the Water Transmission and Technologies Company.